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Transparency

Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

March 18, 2025

Present at the meeting: Governor Martin Galstyan; Deputy Governors Armen Nurbekyan, Hovhannes Khachatryan; Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, Levon Sahakyan and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia on March 18 started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement as well as in Section I, Part B of the Monetary Policy Report.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to address the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the CBA's most recent surveys, financial market participants expect the CBA policy rate to follow a gradual loosening path, consistent with the logic of prior policy actions.

In this context, on the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). Such developments suggest the possible expansion of the inflationary environment in the global economy, as well as the risks of interest rates remaining at elevated levels in the long term. These types of scenarios are primarily related to the more expansionary fiscal stance in the United States and, in this context, the prospects of increased debt; the uncertainties surrounding the U.S. long-term neutral interest rate; the tightening of external trade policies by leading economies and the expansion of the scope of countries subject to such policies; global and regional geopolitical developments, the potential resolution of the Russia-Ukraine conflict and the resulting risks for Armenia, the formation of a more stimulative fiscal policy stance in Armenia, an increase in Armenia's country risk premium, and other related risks.

On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include the gradual slowdown of economic growth in Armenia, weakening demand, and the prolonged persistence of a low-inflation environment. They also encompass risks related to the further weakening of global demand, the deterioration of labor market conditions in the domestic economy, an undesirable decline in inflation expectations due to inflation remaining low for an extended period, as well as uncertainties and risks regarding the impact on aggregate demand amid slowing activity in the real estate market.

In the context of a broader range of risks, the Board members presented their views on the main sources of risks and uncertainties that are crucial for making a prudent policy rate decision at this stage. In particular, they emphasized the importance of minimizing potential losses arising from these risks and uncertainties.

Board members discussed issues related to the outlook for the U.S. economy and uncertainties surrounding Fed monetary policy. They noted that the previously existing risks related to U.S. economic developments, particularly the tightening of external trade and migration policies, have been somewhat exacerbated and may primarily contain inflationary pressures. These pressures are driven both by the tightening of labor market conditions in the U.S. and the potential disruption of global supply chains. Narek Ghazaryan and Davit Nahapetyan also added that, in the medium term, the high uncertainty created by U.S. economic and migration policies could pose risks of economic downturn, stemming from a potential correction in asset prices and a reduction in consumption and investment volumes. In this context, there are risks of weakening global demand, which could negatively impact not only the demand for goods and services in open economies but also the price levels in international commodity markets. The Board members agreed that uncertainties regarding the neutral interest rate in the U.S. are significant, directly

affecting the risk profiles of developing countries and reflected in the assessments of Armenia's neutral interest rate. In this context, the risks are mainly skewed upwards. Regarding global economic developments, it was pointed out that risks related to the continued slowdown of domestic demand and economic activity in China and the Eurozone remain, which could also influence international commodity markets and the prices of non-food imports in Armenia. The Board members also noted the high uncertainty regarding the potential resolution of the Russia-Ukraine conflict, its subsequent developments, and its macroeconomic impact on Armenia. In this context, Armen Nurbekyan and Hovhannes Khachatryan expressed the view that sanctions relief would not be abrupt, particularly by the EU, and therefore the scenarios arising from them are less likely.

The Board reviewed developments in the domestic economy, highlighting that, amid weakening economic growth, the imbalances between aggregate supply and demand have diminished, although uncertainties regarding the economic outlook persist. While economic activity has gradually slowed, approaching long-term sustainable growth levels, the composition and concentration of activity in certain sectors present risks to sustained economic expansion. In particular, Levon Sahakyan underscored the importance of monitoring sectors linked to construction, including financial and real estate-related services. Hovhannes Khachatryan expressed the view that the output gap is currently negative, with limited prospects for a positive shift in the near term. The Board also acknowledged that strong private consumption and, notably, consumer lending continue to fuel domestic demand expansion. In this context, Hovhannes Khachatryan further pointed out that the transmission of the Central Bank's policy measures to financial market interest rates remains incomplete due to persistently high lending demand, suggesting that market interest rates could decline going forward. The Board emphasized that while the country's risk premium remains low, the risks associated with it are tilted to the upside, primarily due to regional and geopolitical developments.

Turning to labor market developments, the Board members generally agreed that the significant slowdown in private wage growth, along with labor supply and demand dynamics, likely signals some weakening of labor market conditions in 2024. In this context, Hasmik Ghahramanyan emphasized that a key concern is the rise in unit labor costs, which may be driven by elevated inflation expectations, posing a risk of additional inflationary pressures in the future.

The Board members also discussed developments in fiscal policy, highlighting increased uncertainties in two key areas: tax revenue collection and the implementation of capital expenditures. Notably, the prevailing assessment suggests that risks are skewed toward a more expansionary fiscal impact than initially anticipated. However, Artak Manukyan argued that the primary risks lie in fiscal restraint, driven by the potential for stricter tax enforcement measures.

The Board members noted that inflation has increased to some extent, approaching the target level, while the non-traded sticky price inflation has remained close to the target for an extended period. Narek Ghazaryan stated that the continued acceleration of inflation in recent months poses risks of similar trends persisting in the future. All Board members agreed that the upside and downside risks related to inflation are largely balanced.

In summary, regarding Case A-type scenarios, the Board underscored uncertainties and risks associated with the potential expansion of global inflationary pressures, credit-driven demand growth in the domestic economy, and factors such as the country's risk premium and neutral interest rate. Meanwhile, in the context of Case B-type risks, the Board highlighted the gradual slowdown in economic growth, weakening labor market conditions, and concerns over the global economic outlook. The Board also noted heightened external sector risks stemming from uncertainties surrounding U.S. economic policies, the potential resolution of the Russia-Ukraine conflict, and its associated risks. These developments present both inflationary and deflationary risks for Armenia. In this context, Martin Galstyan emphasized that, owing to the Central Bank's prudent risk management policies in recent years, the economy remains well-positioned to navigate these challenges effectively.

The Board reached a unanimous decision at this stage, deeming it appropriate to keep the policy rate unchanged in alignment with market expectations while balancing the management of A-type and B-type risks.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

As a result, balancing the risks in both directions mentioned above, the Board finds it appropriate to continue to gradually ease the policy stance. The Board thus finds it appropriate to continue gradually easing the policy stance. In this context, it was decided to keep the policy rate in the current phase (see Table 1). The Board affirms its commitment to adopting the appropriate policy actions and strategy to ensure the price stability objective of 3% inflation in the medium term.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
March 18, 2025 Decision

Board Member	Vote
Narek Ghazaryan	Leave unchanged
Levon Sahakyan	Leave unchanged
Artak Manukyan	Leave unchanged
Davit Nahapetyan	Leave unchanged
Hasmik Ghahramanyan	Leave unchanged
Hovhannes Khachatryan	Leave unchanged
Armen Nurbekyan	Leave unchanged
Martin Galstyan	Leave unchanged

B. Final Vote Submissions

March 18, 2025

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Governor Martin Galstyan

Based on discussions with the Board during the policy round, the analysis of current and underlying economic conditions, as well as the careful assessment of the key sources of risk and uncertainty, I vote to keep the policy rate unchanged. My decision is motivated by a prudent balancing of both the Case A and Case B-type risks. The current economic developments make the realization of both Case A and Case B-type scenarios increasingly plausible. Armenia's economic growth has stabilized around its potential growth estimates; however, due to the structural characteristics of this growth, uncertainties remain regarding its sustainability, the long-term outlook, and future trends in domestic demand. In parallel with a potential weakening of the labor market, the latter carries risks of prolonged low inflationary conditions. In the context of Case A-type risks, the primary concerns pertain to the medium-term outlook for the US fiscal policy, the potential increase in U.S. government debt, and the tightening of external trade policies, which primarily pose inflationary risks. Under these conditions, interest rates are expected to remain at elevated levels for an extended period. Additionally, uncertainties and risks persist regarding ongoing regional and global geopolitical tensions, the impact of Armenia's fiscal policy on demand—both in direction and magnitude—as well as the uncertainty surrounding the neutral interest rate. Nevertheless, emphasizing the commitment to minimizing potential losses arising from these risks and uncertainties, I vote in favor of keeping the policy rate unchanged in line with market expectations. I reaffirm my readiness to respond in a timely and appropriate manner to any new information or events requiring a reassessment of the risk balance to ensure the 3% inflation target and price stability in the medium-term horizon.

Deputy Governor Armen Nurbekyan

Considering the economic and financial developments over the past few months, discussions with the Board during the policy round, as well as a careful analysis of the key sources of risk and uncertainty, I have voted to keep the policy rate unchanged. The CBA has made significant progress in reducing inflation expectations and mitigating the risk of their deanchoring. At the same time, significant uncertainty both in the external and domestic economies remains. In the U.S., economic activity has been sound, the progress of bringing back the inflation to its target has been significant, however the uncertainty around the long-run neutral rate and the “last mile” of inflation is still present. The medium-term outlook for budget deficits in the U.S. adds significant upward pressure on the terminal rates. In addition, the uncertainty surrounding Trump's administration's tariff policy creates upward risks regarding the future path of the U.S. Federal Reserve interest rates. Global and regional geopolitical risks remain high, which represents Case A-type of risks, considering their potential impact on Armenia's risk premium and, consequently, the neutral interest rate. Economic slowdown risks in other major economies, especially in the EU and China, remain, representing the main Case B-type of risks. Domestically, low inflation has been accompanied by high economic growth, which, however, is concentrated in sectors driven by the expansion of demand, such as services and construction. This indicates that the lower-than-target inflation is not due to insufficient demand. The high growth in credit also supports this. Despite economic activity still being high, it is gradually slowing down and approaching its potential level. Fiscal policy is one of the main Case A-type of risks, as in the short term, there is a risk of increasing the risk premium due to demand expansion and the growth of public debt. At the same time, domestic factors reflect Case B-type of risks mainly through weak dynamics in the labor market and the gradual slowdown in growth, returning to its long-term potential. The slowdown in wage growth is a serious concern in the context of the materialization of Case B-type of risks. Moreover, in 2025, a weakening of activity in the construction and mortgage markets is highly likely. In summary, global and domestic structural factors mostly contain Case A-type of risks, while cyclical factors represent Case B-type of risks. Taking into account the near-zero GDP gap and the risk of a higher neutral interest rate, the decision to keep the policy rate unchanged balances the costs arising from Case A and Case B-type of risks.

Deputy Governor Hovhannes Khachatryan

Taking into account the current economic developments and risks, I vote in favor of keeping the policy rate unchanged. The main uncertainties regarding case A-type risks are related to the potential increase in the long-term neutral interest rate in the U.S., driven by the expected expansionary fiscal stance, concerns over public debt sustainability, and trade barriers resulting from tariffs. On the other hand, weak external demand resulting from the expected slowdown in economic growth in Russia, the EU, and China could constrain economic activity. Additionally, weak domestic demand and the risks of downward price adjustments in the construction and real estate markets further indicate the presence of case B-type risks. Overall, I assess that the GDP gap remains in negative territory, particularly considering the uneven sectoral distribution of economic growth. This is further reflected in the weakening labor market conditions and the slow pace of wage growth in Armenia. In conclusion, stagflationary risks persist both globally and within Armenia's domestic economy. I reaffirm my readiness to respond promptly and appropriately should new information or events necessitate a reassessment of the risk balance, ensuring the achievement of the 3% inflation target and maintaining price stability over the medium-term horizon.

Board Member Hasmik Ghahramanyan

At the Central Bank Board meeting on March 18, 2025, I voted in favor of keeping the policy rate unchanged. In making this decision, I relied on the current economic situation, the policies implemented in the preceding period, my outlook on the economy, and scenario-based developments driven by various risks in both external and domestic economic conditions, with a commitment to bringing inflation closer to the 3% target. I assess that the impact transmitted to Armenia's economy from external factors will be mildly inflationary, accompanied by uncertainties. These uncertainties have increased, primarily due to the reassessment of economic policies in the U.S. and the potential resolution of the Russia-Ukraine conflict. Ongoing developments in U.S. trade policy, as well as potential future tightening, will likely have an inflationary effect on the U.S. economy while also weakening economic growth in the short term. Furthermore, restrictions on free trade could lead to higher production costs in the global economy. Regarding domestic economic developments, I assess that, in the foreseeable horizon, their impact on aggregate demand will not be significantly inflationary. The current trends in economic activity and labor market statistics suggest that the inflationary environment driven by domestic factors is not expanding. However, similar to the previous quarter, I continue to observe risks related to rising unit labor costs in the Armenian economy. While this is currently a supply-side factor, I estimate that in the near future, it will become a demand-side factor. I do not rule out the possibility that fiscal policy developments could alter the current situation by providing only mild demand-side stimulus. I still believe that there are uncertainties regarding the evolution of elements related to the assessment of the neutral interest rate, particularly in terms of the risk premium, with an upward bias. The available indicators and assessments suggest that the fundamental gaps in Armenia's economy are currently at a minimal level: GDP is close to its estimated potential, and inflation is converging toward the target. Considering the above, I find that inflationary risks are balanced, and the Central Bank's current monetary stance is sufficient to ensure overall economic equilibrium.

Board Member Davit Nahapetyan

Considering the economic and financial developments that have occurred since the beginning of the year, as well as discussions with the Board members and the macroeconomic team during the policy round, and based on a detailed assessment of the key sources of risks and uncertainties, I vote in favor of keeping the policy rate unchanged. With regard to the anticipated external impacts, I emphasize the potential adjustments to long-term U.S. interest rates stemming from the more expansionary fiscal policies, as well as the tightening trade and migration policies under the new U.S. administration. Taking into account the emerging weak inflationary trends in commodity markets, particularly in food, as well as possible disruptions in supply chains, I assess that the Armenian economy is likely to face primarily supply-side driven, mild inflationary pressures from the external sector. Based on my evaluation, external demand for the Armenian economy continues to weaken. This could affect the services and trade sectors, as well as the real estate market, where signs of a slowdown are also evident. Given the external and internal factors outlined, I continue to emphasize the importance of considerations regarding the stance of the neutral interest rate and the potential adjustments to the country's risk premium. A detailed analysis of the current economic developments and fundamental conditions leads to the conclusion that, despite the presence of A-type risks, the signals of materializing B-type risks remain more substantial. In my opinion, the achievement of inflation at a level close to the target provides a basis for considering the approach of keeping the interest rate unchanged as more acceptable, particularly from the perspective of anchoring inflation expectations. In this context, I consider maintaining the policy interest rate at 6.75% in the medium term to be a rational and prudent decision, as it effectively balances the risks on both the upside and downside. I reaffirm my commitment to the Central

Bank Board's continuous monitoring of potential economic development scenarios, as well as international developments. The Central Bank Board will continue to respond appropriately with its instruments to ensure the achievement of the 3% inflation target and price stability in the medium term.

Board Member Artak Manukyan

In the context of economic and financial developments in recent months, I have assessed the main sources of potential risks and uncertainties. Given this, I have voted to keep the refinancing rate unchanged, which is also in line with market expectations. A close examination of the data shows that inflationary pressures from the external sector on the Armenian economy remain weak. Case A-type risks continue to include those associated with the Federal Reserve maintaining interest rates at a relatively high level for an extended period (higher for longer), also influenced by Trump's trade policy decisions. In the domestic economy, I believe that Case B-type risks are more likely to materialize. Specifically, external demand is declining, as reflected in the reduction of tourist inflows, per capita tourist expenditures, labor migration to Russia, and non-commercial remittances to Armenia through banks. At the same time, 12-month inflation has approached the 3% target and currently stands at 2.5%. Although Armenia's short-term risk premiums had somewhat declined in recent periods, long-term risks persist due to geopolitical developments. The structure of economic growth shows a concentration in construction and related sectors. Meanwhile, there are emerging risks of slowing activity in the real estate market. Labor market conditions indicate signs of stability, particularly reflected in the normalization of nominal wage growth rates. However, the risks of additional demand stimulation from fiscal policy remain relevant. In parallel, alongside the tightening of tax administration, there are potential risks of further demand restraint. At the same time, aggregate demand remains at a high level, as evidenced by the growth in lending volumes. In conclusion, I would like to note that the economic conditions indicate that the imbalances in the economy have almost been neutralized, and the economy is approaching a balanced state, as reflected in the closure of the output gap and the stabilization of inflation expectations. Considering the current inflation trends, ongoing developments in the economy, and their macroeconomic outlook, along with the overall analysis of fundamental conditions, I conclude that at this stage, A-type and B-type risks are balanced. Therefore, I am inclined to keep the refinancing rate unchanged, which aligns with market expectations. I affirm that, as a Board member, I will continue to closely monitor the economic development scenarios to ensure price stability. Should the need arise, I will take appropriate measures in the medium term to ensure the achievement of the 3% inflation target.

Board Member Levon Sahakyan

By discussing the developments in economic fundamentals, risks, and uncertainties during the policy cycle, as well as considering market expectations, I vote in favor of keeping the policy rate unchanged. In my assessment, current domestic economic conditions have moved toward closing the output gap, and urging by discussions around the neutral rate, I assume that with the existing policy rate, we are in a slightly accommodative stance. At the same time, the growth rates of retail trade and lending still indicate that household demand remains at a sufficient level, while the non-traded sticky price index remains within the target range. Thus, domestic economic developments are in line with the expectations of the implemented policy, which aims for a smooth convergence of economic growth toward potential GDP and the management of inflation within the target range. Labor market dynamics remain consistent with broader economic conditions, with no significant signs of either weakening or overheating. However, from the perspective of economic growth and domestic demand outlook, risks are primarily tilted to the downside. Similarly, I assess that imported inflation risks are also skewed downward, given the relatively slow pace of global economic growth this year. Nevertheless, the uncertainties surrounding the U.S. Federal Reserve's interest rate trajectory carry the greatest weight in my decision. It appears that relatively high interest rates will persist for longer than previously expected. Currently, global financial markets remain highly sensitive to U.S. monetary policy decisions, driving increased volatility, which in turn affects risk-free interest rates, emerging market risk premiums, and interest rates in Armenia's domestic financial market. In this context, the impact of trade tariffs on our economy is also significant. In making this policy rate decision, I have sought to balance Case A- and Case B-type risks in alignment with market expectations.

Board Member Narek Ghazaryan

Considering the discussions with other Board members during the policy cycle, the analysis of current economic developments and fundamental conditions, as well as a comprehensive assessment of the main sources of risks and uncertainties, I vote in favor of keeping the policy rate unchanged. My decision is based on the firm conviction that, from the perspective of monetary

policy, several key indicators have approached their respective stable or target levels. Additionally, I assess the potential inflationary Case A-type and deflationary Case B-type risks as balanced in terms of their impact on inflation. Specifically, the twelve-month inflation in February stood at 2.5 percent, approaching the Central Bank's target. I consider the current refinancing rate of 6.75 percent—lowered by a cumulative 400 basis points by the Central Bank—to be close to the neutral level. Meanwhile, economic growth at the beginning of the year is estimated to be close to its potential level, thereby excluding significant inflationary or deflationary pressures driven by demand.

Regarding the Case A-type risks in the future, I note that the ongoing tightening of strict trade policies by the U.S. government, the expansion of the list of countries targeted by these policies, as well as the potential retaliatory responses from these countries, could lead to significant price inflation for a range of globally traded goods. The ongoing negotiations regarding the resolution of the Russia-Ukraine conflict have raised expectations about economic activity in Russia, strengthening the Russian national currency and increasing the value of local assets. If this situation persists and the lifting of sanctions against Russia continues to be delayed, there is a possibility of accelerated capital inflows into Armenia, which, in turn, could lead to a rapid increase in private expenditures, creating inflationary pressures in Armenia. In the event of sustained geopolitical tensions and worsening supply-side factors, commodity prices in international markets may accelerate. In addition to the external sector developments described above, there are also inflationary risks stemming exclusively from Armenia's domestic economy. Specifically, a potential increase in fiscal stimulus, as well as the continued high growth rate of lending to Armenian households and businesses, could accelerate the expansion of domestic demand, thereby generating additional inflationary pressures.

I would also like to highlight several Case B-type risks present in the policy horizon. Specifically, in the U.S. economy, the potential continuation of the decline in overvalued asset prices, coupled with financial market shocks, could lead to a significant contraction in U.S. economic activity. At the same time, inflation in China remains at persistently low levels. In the EU and UK, economic activity continues to remain below its stable level, primarily due to prolonged challenges in the industrial sector, which could continue to weigh on economic growth over the medium term.

In the scenario of a rapid removal of a significant share of the sanctions imposed on Russia, there is a possibility of a reduction in capital inflows to Armenia, which have been increasing in recent years. This could also lead to a contraction in Armenia's external trade, ultimately resulting in a notable slowdown in economic activity and deflationary pressures driven by weak domestic demand. Since the beginning of the year, declines in oil and certain food prices have also been observed. This trend could deepen and persist throughout 2025, generating deflationary pressures from the supply side. Among the Case B-type risks present in Armenia's domestic economy, it is notable that the slowdown in the growth rate of nominal wages continues, largely reflecting weaker activity in the export-oriented sectors of the economy. Additionally, if the previously noted above-normal economic activity in the real estate market subsides, aggregate domestic demand will likely weaken significantly, creating deflationary pressures.

Balancing the A- and B-type risks described, I am convinced that it is necessary to keep the refinancing rate unchanged at its current level of 6.75%, aiming to achieve inflation close to the Central Bank's target over the medium term. I reaffirm my commitment to the price stability objective and express my readiness to respond with appropriate measures to any new information that may pose risks to achieving the 3% inflation target and ensuring price stability over the medium-term horizon.

